

9.4 Why is tourism a growing global industry?

Global tourism is both one of the world's largest industries and one of the fastest growing. In 1995, global spending on tourism was around \$500 billion. By 2019, it was approximately \$1.44 trillion.

A growing industry

This rapid growth has been driven by several factors. The development of the world's air transportation network has made international travel more affordable, expanding the market in HICs and MICs. 50 years ago, an average return flight from New York to London cost \$550 (more than \$3000 in today's money, when adjusted for inflation). As air travel became accessible to the middle class, the market for budget airlines grew significantly with growing competition driving down prices. By 2024, the average ticket between New York and London is \$450.

Changing lifestyles have also expanded the consumer market for tourism, with increases in the amount of time and money available for leisure in MICs and HICs. Rising global life expectancy has created a market for spending on recreational travel amongst retirees. Annual leave allowances in HICs have also grown. For instance, the European Union mandates that all employees have a minimum of four weeks of paid vacation per year. The global proportion of **disposable income** has risen, meaning people have more money available for discretionary spending such as travel.

Increased internet access and the widespread use of social media has contributed to the popularisation of travel as a leisure activity and has improved awareness of global destinations. The growth in internet users has allowed millions of people to share essential information, personal experiences, and photographs about destinations. Social media platforms, for example, enable tourist boards and travel influencers to share popular attractions with prospective visitors. Such posts can reach many millions of users, building brand and destination awareness. This process has dramatically changed the way that people make their holiday destination decisions.

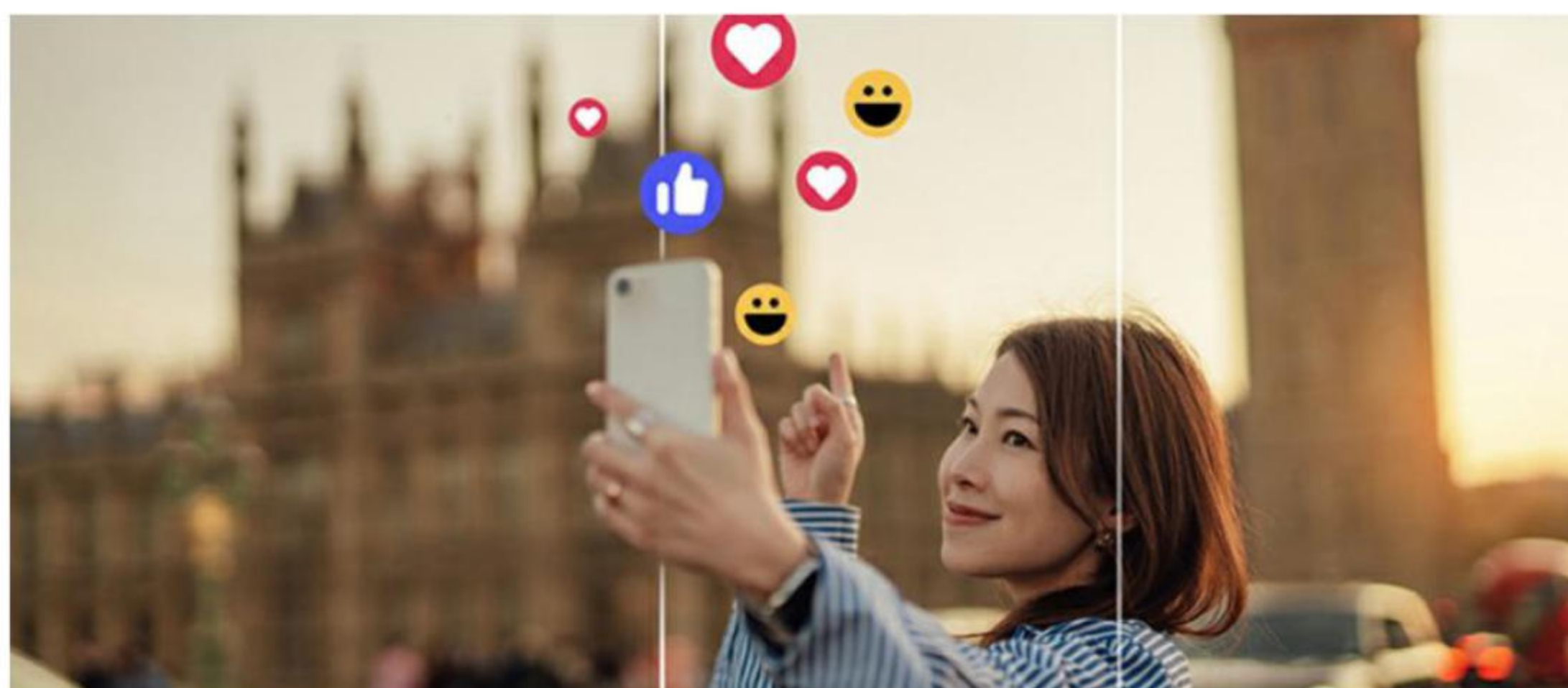


Figure 9.3: Widespread use of social media has contributed to the popularisation of travel as a leisure activity

TASK 1

One factor that has had a major impact on the number of international visitors to new destinations has been the growth of social media and specifically the increase in internet access across the world.

The number of internet users across the world has grown significantly over the past decade:

- in 2012, there were an estimated 2387 million internet users
- for the next 6 years, users rose by an average of 7% each year
- in 2019, the number of users rose by over 10% and then by 11% in 2020
- in 2021, the number decreased to a 7% growth
- in 2022, it grew by another 8% to reach an estimated 5300 million users.

a Using the data provided above, **create a graph** to display the growth of internet users worldwide from 2012 to 2022.

b With a partner, discuss how important you think the increase in internet users has been to the increase of tourism worldwide.

c Create written content for a social media post intended to advertise a travel destination of your choice. Remember to lead with a hook, think of your intended audience, and use language that will attract tourists to your destination.

The Butler model

In 1980, Professor Richard Butler began evaluating the tourism industry, specifically the **carrying capacity** and **sustainability** (longevity) of a resort. Using his observations, he divided the stages of tourism into six categories which later became known as the **Butler Model**.

This model provides a framework for categorising tourist resorts. It assesses change over time and in relation to the changing demands of the industry. Butler’s stages categorise the lifecycle of a tourism resort, from its beginning through to different possible outcomes in the last stage. Table 9.3 summarises the model.

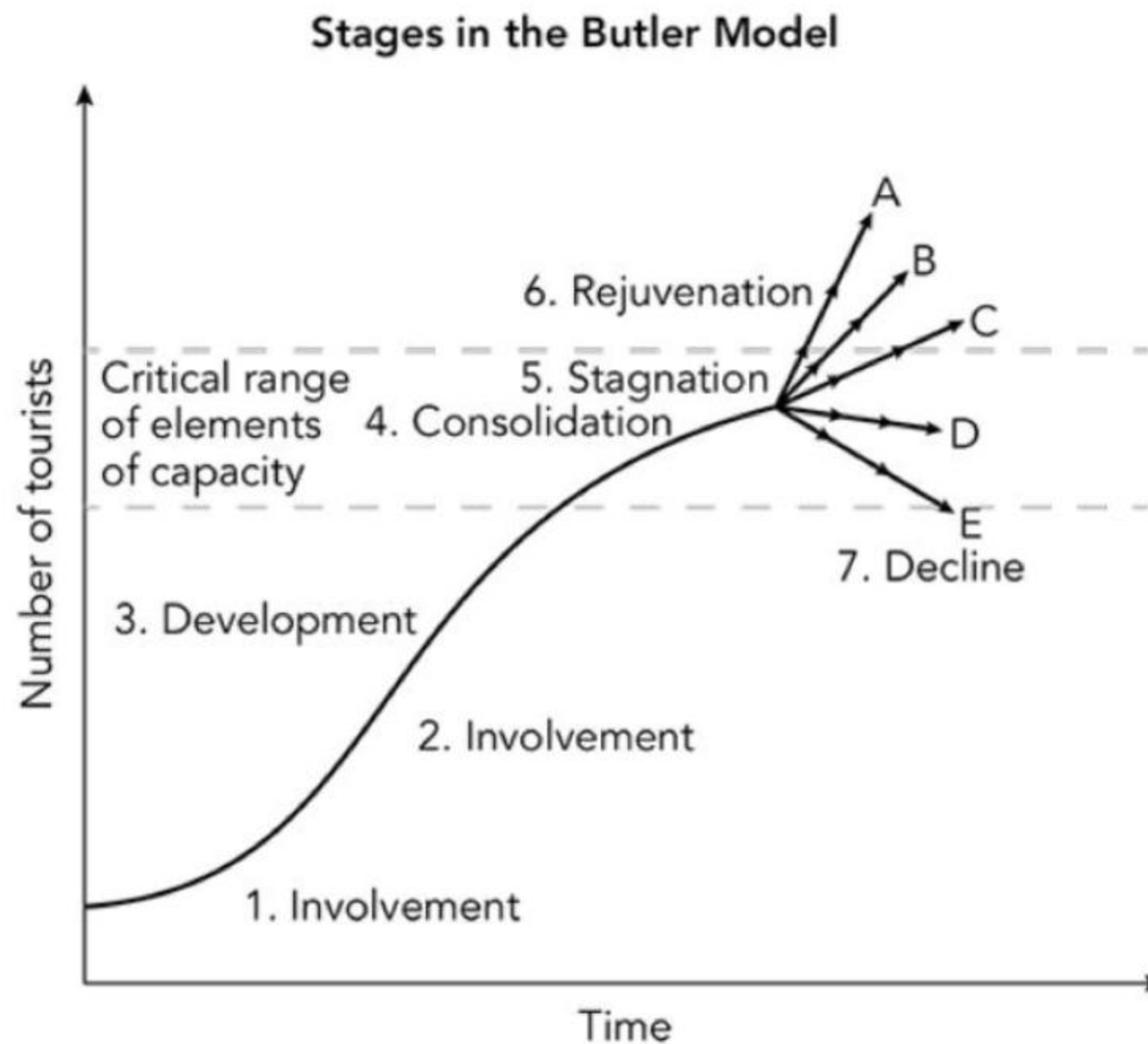
The Butler Model can be used to identify clear distinct stages in the development of a resort over time. This could then indicate which stage of development, rejuvenation or decline the resort is in. The model is limited in that it can sometimes over simplify critical details and can overlook long term data analysis. This can lead to resorts missing vital information and result in over simplifying data.

Table 9.3: Stages of the Butler model

Stage	Description of tourist area or resort
Stage 1: Exploration	- initially small numbers of tourists visit the area - attractions are primary, and could include natural or cultural sites - initially no secondary tourism attractions - the region’s tourism has no significant economic or social impact on local residents.
Stage 2: Involvement	- residents start to become involved in secondary tourism services, such as guest houses - seasons of increased demand begin to develop - local governments start to improve transport networks and services for tourists.
Stage 3: Development	- the number of tourists start to exceed the local population during peak periods - focused advertising starts to create a specific tourist target market - local involvement and control of tourism declines rapidly as external investment begins - external organisations start to provide secondary tourism attractions - natural and cultural attractions become developed and heavily marketed - local population experience physical changes to the area. This is not always positive.
Stage 4: Consolidation	- overall growth begins to slow but tourist numbers still exceed the local population - the region’s economy is dependent and focused on tourism - marketing and advertising are now internationally focussed - major international tourism chains are present in the region - established recreational business districts are created - tourism gains opposition from some of the local population.
Stage 5: Stagnation	- resorts reach or exceed carrying capacity - negative impacts on the environmental, local society, and local economy increase - the resort no longer offers its original attraction. Alternative, artificial attractions are now the main attraction. - the tourist destination is well-known but is no longer a destination of choice.
Stage 6: Decline or rejuvenation	Decline: - the resort is unable to compete with newer tourist attractions - weekend or day-tripper tourists replace seasonal tourists - non-tourism activities replace tourist facilities - existing hotels are re-purposed, for instance to become retirement homes or flats for residents - the area could drop out of the tourism market completely or become victim to ‘slum tourism’ (where tourists visit an area of extreme poverty to experience how local people live). Rejuvenation:

- a major change in direction or focus happens to attract a new type of tourist
- previously underused tourism resources are identified to bring new market opportunities to the resort or area.

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Source **A**: The Butler Model

TASK 2: Study Source **A**

Some people argue that the Butler Model is a simplistic way to explain the lifecycle of a tourist destination.

- Explain how the model could be used to ensure that tourism is sustainable.
- Do you think it is still relevant today? Justify your answer.

The benefits and problems of tourism

Tourism can have positive and negative economic, social, and environmental impacts on a region.

Economic impacts

As the tourism industry in an area develops, it creates jobs. This has a positive impact on the local economy, contributing to the income of the population. As such, the population's standard of living increases. This stimulates the local economy as individuals use their increased spending power and disposable income on local services and products. For some countries, the economic benefits of tourism are huge. Travel and tourism in the Seychelles in 2021, for example, represented nearly 50% of the country's GNP.

Further economic benefits include local taxes and revenues collected by governments. This income can be invested into infrastructure such as schools, hospitals, and roads. For example, some countries and cities have introduced a tourism tax for visitors. Botswana, for example, started charging a tourist tax in 2017 to raise funds for conservation and natural tourism development.

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On the other hand, as tourism brings people to a region, the cost of living is pushed up, with rent, housing prices, and restaurant bills increasing for locals. Economic benefits are often also unequally distributed, with money invested into tourist-dominated areas and not into infrastructure supporting residents.

The local population are also at risk of being exploited by foreign business owners offering new job opportunities. Career growth for the local population may be limited or seasonal, or their pay may be low compared to foreign-born workers for example. Furthermore, the money from tourists can end up going to foreign investors or hotel chains, rather than the local population.

Social impacts

Tourism is an interactive service. This means it involves a social exchange between the host and the guest. This can include the sharing of local culture, art and heritage. The sharing of these traditions can contribute to the conservation and sustainable management of local heritage, indigenous cultures, arts and crafts, and

even languages. In Hawaii, for example, many hotels are linked with native Hawaiian cultural ambassadors who share the meanings and stories of indigenous cultural practices and the language associated with it to tourists. Tourists then visit to gain these experiences, encouraging locals to continue to preserve the culture.



Figure 9.4: Mayan women in typical costume, selling handmade textiles and souvenirs in Antigua, Guatemala

The arrival of many international visitors can affect an area's social wellbeing negatively, though. An influx of visitors, with different social norms and economic status, can drive an increase in crime or result in conflict. For instance, if a destination with strong religious beliefs attracts visitors from secular societies, these visitors bring habits and norms which are inappropriate in the host country. This may cause conflict, or it may cause the host country to adapt to preserve the area's status as a tourist destination. This process is known as **acculturation**, which can result in the loss of the original culture.

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As tourism grows, demand for accommodation increases. Companies in the short-term rental market, like Airbnb, capitalise on this demand. This demand drives local house prices up, which not only results in negative economic impacts for locals, but also negative social consequences by the process of **gentrification**. As wealthier people (often foreign tourists) move in, this changes the character of an area. New shops and restaurants open to cater for tourists' tastes and local businesses can be squeezed out. This can lead to a homogenisation of culture, threatening local or regional cultural practices and potentially leading to the destination losing its original appeal and moving to Stage 5 of the Butler model.

Environmental impacts

Tourism can be good and bad for the environment. If a tourist destination's attraction is based on the local ecology, then the government is incentivised to invest in the protection of these environmental assets. **Ecotourism** is a model which works to protect the natural resources of a region. It lets people visit places in ways that have minimal impact on the environment visited. The profits of ecotourism can fund conservation and habitat preservation which then, in return, continues to attract tourists. This circular system allows a tourist attraction to be sustainably managed over the long term.

The Ngorongoro crater in Tanzania, for example, is a biodiverse ecological attraction with one of the largest concentrations of wild animals in the world. UNESCO listed the Ngorongoro Conservation Area as an endangered site in 1984, as wildlife populations were negatively affected by unregulated human activity. Only five years later, following the introduction of guidelines for tour operators and monitoring by game rangers, wildlife populations had recovered enough for the site to no longer be considered endangered. The region is now a main tourist attraction in Tanzania, drawing over half a million visitors per year.



Figure 9.5: The Ngorongoro crater in Tanzania is a biodiverse ecological attraction, drawing over half a million visitors per year

The expansion of tourism, however, may require the development of new land to support larger numbers of visitors. If this development is not managed carefully, it can present an ecological risk. The construction of buildings and transport infrastructure and power lines often involves habitat destruction and a resulting loss of species. Furthermore, large numbers of visitors to an area can put pressure on water supplies or overwhelm municipal services. Under-resourced local governments can struggle to manage waste sustainably, leading to pollution. If unchecked, these effects can gradually destroy the environmental value driving the tourism industry.

TASK 3: Study Sources **B** **C**

- a** Comment on the negative impacts of tourism visible in each photo.
- b** Discuss with a partner how these negative impacts affect the local population and tourists.



Source B: Crowds of tourists walking along a street in Barcelona.



Source ©: Plastic waste on the shoreline of Doha.

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PROJECT

A hotel chain has recently submitted a proposal to build a new golf course in a coastal town. The owners say that the number of tourists to the region will increase significantly. This would bring much-needed money to the town.

The locals are concerned that the golf course will threaten the fragile ecosystem. The town is located in an area of particular natural beauty, which serves as a primary tourist resource. The people are concerned that establishing a secondary resource, such as the golf course, will negatively impact the environment.

Divide yourselves into two groups. Group A will represent the hotel chain and promote the idea of building the golf course, focusing on the economic and social benefits. Group B will pose questions to ensure that the hotel considers the environmental impact of the new golf course. You will need to carry out research so that you have evidence for your claims.

REFLECTION

The project involved listening to another person's argument. Did you find it beneficial to listen to another person's point of view? Were there lessons you learnt from hearing another perspective of an argument?

Managing tourism

Tourism brings a host of challenges that need to be managed. Ideally, we want tourism to be sustainable. The World Tourism Organization (WTO), part of the UN, defines **sustainable tourism** as 'tourism that takes full account of its current and future economic, social and environmental impacts, addressing the needs of visitors, the industry, the environment and host communities'. One of the challenges of managing a sustainable tourism industry is finding a balance between the short- and medium-term economic and social benefits of tourism and the long-term value of protecting a location's environment and cultural integrity.

The WTO have developed a number of strategies that countries can adopt and implement to sustainably manage tourism, at a range of scales. Strategies have been designed to manage tourism on a global and national level, as well as offering support on an individual level.

International strategies

As an organisation, the WTO monitor and address the needs of visitors, the tourism industry, the environment, and host communities as a whole. They co-ordinate the process of sustainable tourism across countries. Some techniques include:

- producing guidelines on waste management, climate change, disaster risk management, water sustainability, marine preservation, and the need for efficient transportation
- creating certification frameworks for service providers of tourism.

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National strategies

Countries can pass sustainable tourism laws which are then upheld and supported through local governments. These create responsible guidelines for tourism in

the region and ensure that tourism is sustainable and managed effectively. Some techniques include:

- New tourist attractions and areas can be developed regionally to reduce tourist numbers on sensitive areas.
- Implementing quotas of tourists to certain regions. For example, in Indonesia, the Ministry of Maritime Affairs and Fishing imposed a quota system on marine tourism activities in national conservation areas.
- Restricting cruise ship access to certain ports to reduce the number of tourists. For example, there is restricted access in Amsterdam, Venice, Maine, Florida, California, and Alaska.
- Banning tourism from certain eco-sensitive areas, such as in areas of Costa Rica.
- Banning tourists from certain historic areas, such as lanes used by geishas in the Gion District in Kyoto, Japan, to preserve local culture.

Individual strategies

Individuals can have a positive impact on sustainable tourism by becoming aware of their actions and taking responsibility for minimising the impact of their tourism activities. Some individual techniques include:

- choosing to fly less, thereby reducing their carbon footprint
- adapt responsible tourist behaviours such as waste management, reducing the use of plastic, noise pollution, and overall energy consumption
- choosing to support eco-tourist initiatives
- choosing to support local hotels and businesses, rather than international chains.

The positive economic impact of tourism has a negative impact on the success of these strategies. Multiple stakeholders such as governments, consumers, local communities, workers in the tourism industry, and the tourism industry itself all need to play a role in sustainable tourism management. The initiatives followed are more beneficial if supported by all to ensure that ecosystems, heritage, and culture are preserved for future generations.

TASK 4

In pairs, discuss the following questions:

- There are a number of environmental benefits to the implementation of a successful ecotourism programme. For example, conservation and protection of land, involvement and support from locals, and ensuring sustainable income to maintain the natural environment.

What are some of the challenges a destination promoting eco-tourism might face as it develops and attracts additional tourists?
- Create your own personal definition of sustainable tourism.